

# AUS & Thai Bank Valuation Screen — Session Summary

**Date:** 6 July 2026   **Prepared for:** family review   **Stage:** 1 (screening) plus two exploratory backtests

This note summarizes a fair-value screen of major Australian and Thai bank stocks using a single-stage Gordon Growth Model, plus two follow-up backtests that stress-test whether the model's valuation calls actually predicted anything. The honest headline: the backtests are small-sample and mostly inconclusive, but they surfaced two genuinely useful findings worth remembering before trusting this model with money.

## 1. The model

Fair P/B = (payout ratio × ROE) / (r – g), where g = ROE × (1 – payout ratio) (the "sustainable growth" assumption), and r (cost of capital) is a flat rate per country, editable in `config/assumptions.yaml`. Current settings: **AUS r = 8%**, **THA r = 12%**. These were tuned once against a small backtest (see Section 3) — treat them as reasonable starting points, not settled numbers.

## 2. Stage 1 screen: is everything over- or under-priced right now?

Stage 1: Actual P/B vs Fair P/B (Gordon Growth)

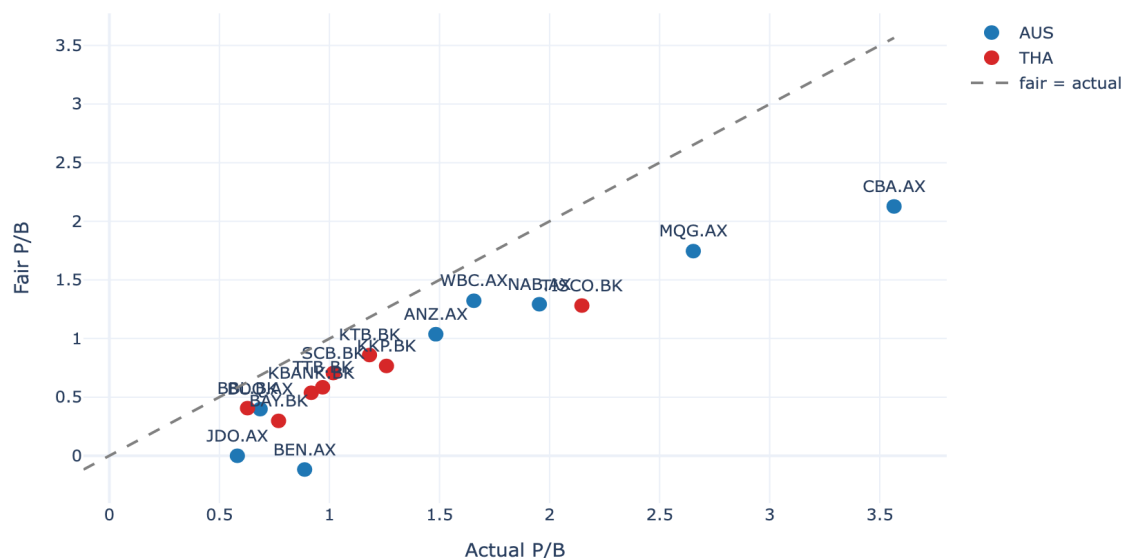


Figure 1. Each dot is a bank today. Points above the dashed line trade above the model's fair P/B ("overvalued" by this model); points below trade under fair value.

Every bank in the sample currently screens as overvalued under this model — not one name sits below the fair-value line. That's the trigger for the backtests below: when a model says *everything* is wrong, the more likely explanation is a bad assumption in the model, not that the market is uniformly irrational.

| Bank                      | Ticker | Ctry | ROE   | Payout | Act. P/B | Fair P/B | Up/Down |
|---------------------------|--------|------|-------|--------|----------|----------|---------|
| ANZ Group Holdings        | ANZ.AX | AUS  | 8.2%  | 84.1%  | 1.48     | 1.04     | -30%    |
| Bank of Queensland        | BOQ.AX | AUS  | 1.6%  | 256.8% | 0.69     | 0.40     | -42%    |
| Bendigo and Adelaide Bank | BEN.AX | AUS  | -1.2% | 79.8%  | 0.89     | -0.12    | -113%   |

| Bank                           | Ticker   | Ctry | ROE   | Payout | Act. P/B | Fair P/B | Up/Down |
|--------------------------------|----------|------|-------|--------|----------|----------|---------|
| Commonwealth Bank of Australia | CBA.AX   | AUS  | 13.6% | 78.1%  | 3.56     | 2.13     | -40%    |
| Judo Bank Holdings             | JDO.AX   | AUS  | 6.3%  | 0.0%   | 0.58     | 0.00     | -100%   |
| Macquarie Group                | MQG.AX   | AUS  | 11.2% | 67.0%  | 2.65     | 1.75     | -34%    |
| National Australia Bank        | NAB.AX   | AUS  | 9.9%  | 85.0%  | 1.95     | 1.29     | -34%    |
| Westpac Banking Corporation    | WBC.AX   | AUS  | 9.8%  | 75.4%  | 1.66     | 1.32     | -20%    |
| Bangkok Bank                   | BBL.BK   | THA  | 7.8%  | 36.6%  | 0.63     | 0.41     | -35%    |
| Bank of Ayudhya (Krungsri)     | BAY.BK   | THA  | 8.3%  | 19.1%  | 0.77     | 0.30     | -61%    |
| Kasikornbank                   | KBANK.BK | THA  | 8.5%  | 47.2%  | 0.92     | 0.54     | -41%    |
| Kiatnakin Phatra Bank          | KKP.BK   | THA  | 10.4% | 51.3%  | 1.26     | 0.77     | -39%    |
| Krung Thai Bank                | KTB.BK   | THA  | 11.0% | 56.4%  | 1.18     | 0.86     | -27%    |
| SCB X (Siam Commercial Bank)   | SCB.BK   | THA  | 9.1%  | 77.8%  | 1.02     | 0.71     | -31%    |
| TMBThanachart Bank             | TTB.BK   | THA  | 8.5%  | 57.0%  | 0.97     | 0.58     | -40%    |
| Tisco Financial Group          | TISCO.BK | THA  | 15.0% | 91.8%  | 2.15     | 1.28     | -40%    |

Table 1. Full Stage 1 screen, all 16 banks, as of 6 July 2026. Judo Bank pays no dividend, so its fair P/B collapses to 0 under this model — a data limitation, not a real signal.

### 3. Backtest 1 — does the valuation gap actually predict returns?

Method: pulled ~4 years of annual financials per bank (yfinance's free limit), computed each bank's fair P/B at each historical fiscal year end using that year's own ROE/payout, and checked whether the gap between actual and fair P/B correlated with what the stock actually did over the following year.

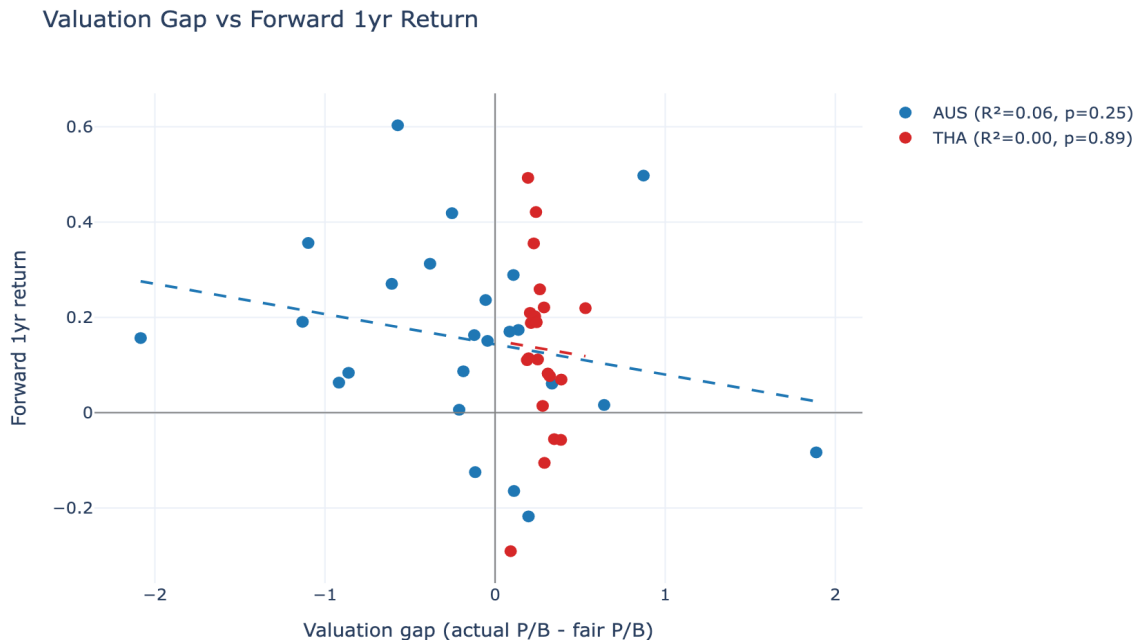


Figure 2. Each dot is one bank-year. X-axis: how overvalued (right) or undervalued (left) the model said the bank was. Y-axis: what the stock's total return actually was over the next year. A working signal would show a downward-sloping cloud (overvalued → underperformed).

**Key finding — Thailand shows essentially no relationship.** The Thai regression comes back with  $R^2 = 0.001$  and  $p = 0.89$ : the valuation gap explains almost none of the variance in forward returns, and the result isn't statistically distinguishable from pure noise. In plain terms, whether a Thai bank looked cheap or expensive by this model told you almost nothing about what it actually did next — the cloud of points is essentially shapeless, scattered across all four quadrants with no visible tilt. Australia showed a weak negative slope in the right direction ( $R^2 = 0.06$ ,  $p = 0.26$ ), which is at least directionally consistent with the model working, but still not statistically significant on its own.

### 4. Backtest 2 — annual cheap-half vs. expensive-half rebalancing

A more realistic test: each 1 January, split each country's banks into a cheap half and an expensive half by valuation gap (using the prior year's reported financials, as a real investor would have available at that point), hold both halves through actual daily prices, then re-split the following year.

| Country | Reshuffle Year | # Banks | Cheap Half Return | Expensive Half Return | Spread |
|---------|----------------|---------|-------------------|-----------------------|--------|
| AUS     | 2023           | 6       | 16.8%             | 4.4%                  | 12.4%  |
| AUS     | 2024           | 6       | 30.4%             | 32.8%                 | -2.4%  |
| AUS     | 2025           | 7       | 10.8%             | 9.6%                  | 1.2%   |
| AUS     | 2026           | 6       | -4.2%             | 7.1%                  | -11.2% |
| THA     | 2023           | 7       | 3.5%              | -2.7%                 | 6.2%   |

| Country | Reshuffle Year | # Banks | Cheap Half Return | Expensive Half Return | Spread |
|---------|----------------|---------|-------------------|-----------------------|--------|
| THA     | 2024           | 7       | 14.1%             | 5.0%                  | 9.1%   |
| THA     | 2025           | 7       | 31.3%             | 25.4%                 | 5.9%   |
| THA     | 2026           | 7       | 36.4%             | 39.0%                 | -2.6%  |

Table 2. Per-year returns for the cheap half vs. the expensive half of each country's bank universe.

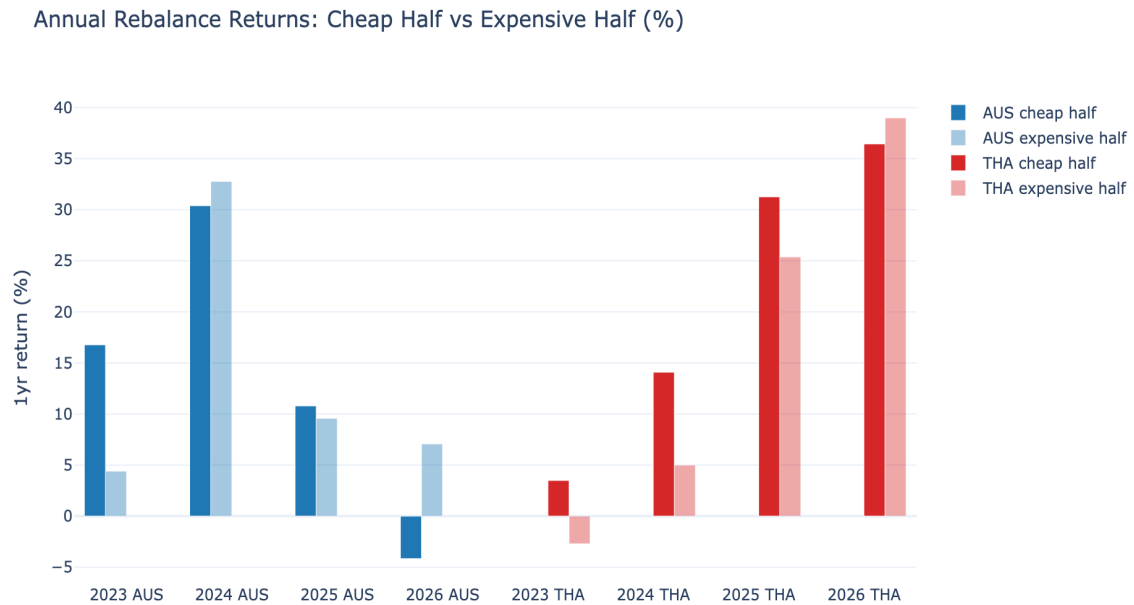


Figure 3. Same data as Table 2, visualized. Darker bars = cheap half, lighter bars = expensive half.

**Summary:** Thailand — cheap half beat the expensive half in 3 of 4 years (+111.5% vs. +78.0% cumulative), though the statistical test still isn't significant at conventional thresholds ( $p = 0.16$ ). Australia — essentially a coin flip (cheap beat expensive in exactly 2 of 4 years,  $p = 0.999$ , meaning no signal at all).

## 5. Why Australia's result is more complicated: the Big Four dominate

Adding a market-cap-weighted "hold everything" index as a benchmark revealed something structural: in Australia, **both** the cheap half and the expensive half underperformed simply holding the market-cap-weighted index (61.7% and 62.6% respectively, vs. 88.2% for the index).

| Bank | Market-Cap Weight (2023) |
|------|--------------------------|
| CBA  | 42.0%                    |
| NAB  | 21.6%                    |
| WBC  | 18.2%                    |
| ANZ  | 15.6%                    |
| BEN  | 1.2%                     |
| BOQ  | 1.0%                     |
| JDO  | 0.4%                     |

Table 3. Australian bank universe market-cap weights at the first 2023 reshuffle. The Big Four (CBA/NAB/WBC/ANZ) make up ~97.4% of total market cap.

**Key finding — this is a weighting artifact, not a failure of the valuation signal.** The Big Four all returned 84–87% over the backtest window and dominate the market-cap index (~97% combined weight), while the smaller names — Bank of Queensland (+12%), Bendigo (+33%), and especially Judo Bank (–32%) — barely register in the index (~2.6% combined weight). But the cheap/expensive halves are *equal-weighted*: whenever a small laggard like Judo or BOQ landed in a half, it dragged that half's average down by exactly as much as a Big Four bank returning 85%+ pulled it up. Thailand avoids this problem because its 7 banks are much closer in size to each other — no single name dominates the index the way CBA does in Australia. **Conclusion: for Australia specifically, the equal-weighted vs. market-cap comparison isn't a fair test of the valuation signal on its own — you'd need to market-cap-weight the cheap/expensive halves themselves before that comparison means anything.** For Thailand, the flatter size distribution makes the equal-weighted comparison closer to a fair read.

## 6. Data integrity check: are the prices dividend-adjusted?

Checked directly: yes. The price data (via yfinance) is already dividend- and split-adjusted by default — verified by comparing the default "Close" series against an explicitly unadjusted pull for the same date, which differed by exactly the dividend effect. This means every return figure in this report (forward returns, cheap/expensive halves, the market-cap index) is already a **total return** — price appreciation plus dividends effectively reinvested — not a price-only return. Given these banks pay 3–9% dividend yields, this matters a lot; no further adjustment is needed here.

## 7. Caveats & what this is not

- Small sample: only ~4 rebalance years and 6–7 names per country — directional evidence, not proof.
- No transaction costs modeled.
- No survivorship-bias check (today's bank list, not the historical list).
- Thai reshuffle dates carry a mild look-ahead assumption (assumes Dec year-end reports are available by 1 Jan, when real publication is often Feb–Apr).
- This is an exploratory sanity check, explicitly *not* the rigorous Stage 4 backtest planned later in this project.